Write your name here

Surname	Other names

Pearson Edexcel
Level 3 GCE

Centre Number	Candidate Number

Economics B

Advanced

Paper 1: Markets and how they work

Predicted Paper (ADVANCED) – Afternoon
Time: 2 hours

Paper Reference
9EB0/01

You do not need any other materials.

Total Marks

Instructions

- Use black ink or ball-point pen.
- Fill in the boxes at the top of this page with your name, centre number and candidate number.
- Answer all questions.
- Answer the questions in the spaces provided – there may be more space than you need.

Information

- The total mark for this paper is 100.
- The marks for each question are shown in brackets – use this as a guide as to how much time to spend on each question.
- Calculators may be used.

Advice

- Read each question carefully before you start to answer it.
- Try to answer every question.
- Check your answers if you have time at the end.

Turn over

Answer ALL questions.

SECTION A

Read the following extracts (A to D) before answering Question 1.

Write your answers in the spaces provided.

Extract A

The UK electric vehicle market

The UK market for new battery-electric vehicles (BEVs) reached 314,687 units in 2023, accounting for 16.5% of all new car registrations. Sales grew 17.8% year-on-year despite the removal of the Plug-in Car Grant in 2022 and broader consumer cost-of-living pressures.

Tesla remained the best-selling BEV brand in the UK with 49,890 Model Y and Model 3 registrations. Tesla UK's 2023 revenue was reported at £2,420m, with an operating profit of £223m. Chinese manufacturers (BYD, MG, Ora) have entered the UK aggressively, exerting significant downward pressure on prices.

However, the market is maturing. Weekly charging infrastructure growth has slowed, and several legacy manufacturers (Ford, Vauxhall) report declining BEV margins. Arrival, a UK-based commercial EV startup headquartered in London, filed for administration in 2024 following cost overruns.

The ZEV mandate, which came into force on 1 January 2024, requires 22% of all new cars sold to be zero-emission, rising to 80% by 2030 and 100% by 2035. Non-compliant manufacturers face fines of £15,000 per vehicle.

(Source: adapted from SMMT UK New Car Market 2023 and AutoTrader Research)

Extract B

Top UK BEV brands by 2023 registrations

Brand	Registrations 2023	Market share
Tesla	49,890	15.9%
BMW	29,400	9.3%
Audi	25,620	8.1%
MG Motor	25,080	8.0%
Volkswagen	24,540	7.8%
Polestar	18,900	6.0%
Kia	16,500	5.2%
Hyundai	15,750	5.0%
BYD	12,300	3.9%
Other	96,707	30.7%

(Source: adapted from SMMT Registration Data 2023)

Extract C

Arrival – the rise and fall of a UK EV start-up

Arrival, founded in 2015 in London, set out to disrupt the commercial vehicle market with modular, software-defined electric vans and buses. The firm floated on NASDAQ in 2021 at a valuation exceeding $13 billion, attracting significant UK investor interest.

However, the company struggled to scale manufacturing. Arrival reported cumulative losses of £1.4bn before filing for administration in February 2024. Industry analysts cite high sunk costs, capital intensity, and competition from established manufacturers.

Arrival's case has been cited as illustrative of the barriers facing UK-based EV start-ups competing with established multinationals and low-cost Chinese entrants. 'The UK has the talent but not the capital or scale,' one analyst noted.

(Source: adapted from FT 2024 and SMMT analysis)

Extract D

UK average new BEV list price (£), quarterly 2020–2023

Quarter	Average list price (£)	QoQ change
Q1 2020	43,850	—
Q3 2020	44,920	2.44%
Q1 2021	46,150	2.74%
Q3 2021	48,400	4.88%
Q1 2022	50,610	4.57%
Q3 2022	51,740	2.23%
Q1 2023	50,980	-1.47%
Q3 2023	49,320	-3.26%
Q4 2023	47,920	-2.84%

(Source: adapted from AutoTrader Retail Price Index)

1 (a) Using Extract A, calculate to 2 decimal places the operating profit margin for Tesla UK in 2023. You are advised to show your working. **(4)**

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(b) Using Extract D, calculate to 2 decimal places the percentage change in the average UK new BEV list price between Q1 2020 and Q4 2023. You are advised to show your working. **(4)**

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(c) Using a supply and demand diagram, illustrate the impact of the entry of Chinese manufacturers on the UK BEV market. (Extracts A and B) **(4)**

(d) Tesla, BMW, Audi and Volkswagen are among the leading UK BEV brands. (Extract B) Analyse one possible impact of the market structure on the pricing strategy of these firms. **(6)**

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(e) Discuss whether profit maximisation is the most important business objective for a UK-based EV start-up such as Arrival. (Extract C) **(8)**

(f) Extract D shows recent falls in average BEV list prices. Assess the likely impact of falling prices on UK BEV manufacturers and consumers. **(10)**

(g) Assess the importance of non-price competition in the UK BEV market. **(12)**

(h) Assess whether the UK BEV market is contestable. **(12)**

(Total for Question 1 = 60 marks)

TOTAL FOR SECTION A = 60 MARKS

Answer ALL questions.

SECTION B

Read the following extract (E) before answering Question 2.

Write your answers in the spaces provided.

Extract E

EV subsidies and the ZEV mandate

The UK abolished the £1,500 Plug-in Car Grant in June 2022, saving an estimated £300 million per year in public spending. The policy had supported UK EV sales since 2011, totalling £1.4 billion in direct subsidies. The government argued that the market had matured and demand no longer required support.

The ZEV mandate introduced in 2024 takes a different approach: imposing minimum zero-emission sales quotas on manufacturers rather than subsidising consumer purchases. The policy aims to accelerate the EV transition without direct fiscal cost.

Industry reaction has been mixed. Some manufacturers, particularly those with competitive EV line-ups (Tesla, BYD, MG), have welcomed the mandate. Others, including Ford and Stellantis, have warned that meeting the 22% quota in 2024 is challenging and could force them to discount EVs heavily, eroding profitability.

Charging infrastructure remains a constraint. The UK had approximately 55,000 public charge points by end-2023, but coverage is uneven — weighted heavily to London and the South East. The Society of Motor Manufacturers and Traders (SMMT) has called for more targeted government investment in rural charging.

The government has also introduced company car tax incentives favouring EVs (BIK at 2% for 2024/25) and continues to fund the Workplace Charging Scheme. Critics note that well-off households are disproportionately benefiting from these indirect subsidies.

(Source: adapted from HM Treasury, Department for Transport and SMMT 2023)

2. Using Extract E, evaluate the likely impact of UK government EV policy — including the abolition of the Plug-in Car Grant and the introduction of the ZEV mandate — on the UK economy. **(20)**

(Total for Question 2 = 20 marks)

TOTAL FOR SECTION B = 20 MARKS

Answer ALL questions.

SECTION C

Read the following extracts (F and G) before answering Question 3.

Write your answers in the spaces provided.

Extract F

Regulating EV charging

From November 2023, the UK government required that public rapid chargers (50 kW and above) deliver at least 99% reliability and offer contactless card payment — addressing complaints that many earlier chargers required downloading apps.

Ofgem, the energy regulator, is consulting on price caps for public charging. Current rates vary between 44p/kWh for subscribers and over 80p/kWh at some motorway service area chargers — a stark contrast to home charging at around 10p/kWh (off-peak).

Some critics argue price regulation could deter investment in charging infrastructure. Charging operators point out that building high-power chargers on motorways involves substantial fixed costs and long payback periods, which higher prices help to recover.

(Source: adapted from Ofgem consultation papers, DfT 2023)

Extract G

Environmental and consumer protection regulation

The EU's new Battery Regulation, which the UK is partially mirroring, requires manufacturers to disclose the carbon footprint of EV batteries, guarantee battery health over 8 years, and ensure recyclability quotas by 2030.

The Advertising Standards Authority (ASA) has ruled against several manufacturers for exaggerated range claims. Consumer groups argue that standardised, comparable efficiency data should be mandated — similar to fuel economy figures for ICE vehicles.

Some manufacturers have lobbied against further regulation, arguing that compliance costs raise final consumer prices and slow the energy transition. Others argue that strong rules build consumer confidence, which is essential for mass-market adoption.

(Source: adapted from ASA Rulings 2023, EU Battery Regulation and Which? 2023)

3. Evaluate the likely impact on the UK of increased government regulation of the UK electric vehicle industry. **(20)**

(Total for Question 3 = 20 marks)

TOTAL FOR SECTION C = 20 MARKS

TOTAL FOR PAPER = 100 MARKS